

BANKING & FINANCE QUIZ

1. What does NPL stand for in banking? A. Net Profit Loss B. Non-Performing Loan C. National Payment Ledger D. Net Portfolio Liability Answer: B. Non-Performing Loan
2. What is the primary function of a central bank? A. Issue passports B. Print money and regulate the financial system C. Manage stock markets D. Provide retail loans Answer: B. Print money and regulate the financial system
3. What is a suspense account used for? A. Long-term investments B. Temporary holding of unclear transactions C. Paying salaries D. Recording profits only Answer: B. Temporary holding of unclear transactions
4. Which of these is a liability for a bank? A. Customer deposits B. Bank building C. ATMs D. Furniture Answer: A. Customer deposits
5. What is the meaning of liquidity in finance? A. Company profits B. How easily an asset can be converted to cash C. Loan interest rate D. Employee salaries Answer: B. How easily an asset can be converted to cash
6. In banking, KYC stands for: A. Know Your Customer B. Keep Your Credit C. Know Your Capital D. Key Yearly Compliance Answer: A. Know Your Customer
7. Which of these is a short-term funding instrument? A. Treasury bill B. Corporate bond (10-year) C. Mortgage D. Land purchase Answer: A. Treasury bill
8. What does ATM stand for? A. Automated Teller Machine B. Automatic Transaction Method C. Account Transfer Machine D. Automated Tax Mechanism Answer: A. Automated Teller Machine
9. Which of the following is not a type of bank account? A. Savings account B. Current account C. Investment account D. Liability account Answer: D. Liability account
10. What is compound interest? A. Interest only on the principal B. Interest on principal and previously earned interest C. A flat monthly fee D. Tax on loans Answer: B. Interest on principal and previously earned interest
11. Who regulates commercial banks in Zimbabwe? A. Reserve Bank of Zimbabwe B. Ministry of Finance C. IMF D. Zimbabwe Stock Exchange Answer: A. Reserve Bank of Zimbabwe
12. What is a credit score used for? A. To measure loan eligibility B. To track ATM withdrawals C. To record deposits only D. To measure stock market trends Answer: A. To measure loan eligibility
13. Which type of loan is typically backed by property? A. Personal loan B. Mortgage C. Payday loan D. Overdraft Answer: B. Mortgage

14. Which of these is a digital payment method? A. Cash B. Cheque C. Mobile money D. Promissory note
Answer: C. Mobile money
15. What does FDIC (US context) provide? A. Health insurance B. Deposit insurance C. Loan guarantees D. Tax collection Answer: B. Deposit insurance
16. Which is a long-term financing source for companies? A. Bank overdraft B. Share capital C. Trade credit D. Short-term loan Answer: B. Share capital
17. Which of the following is a risk for banks? A. Interest rate risk B. Credit risk C. Operational risk D. All of the above Answer: D. All of the above
18. What is a capital adequacy ratio? A. Ratio of bank profits to losses B. Bank's capital compared to its risk-weighted assets C. Shareholder equity divided by revenue D. Loan-to-value ratio Answer: B. Bank's capital compared to its risk-weighted assets
19. Which is an example of retail banking? A. Corporate loans B. Treasury management C. Savings account for individuals D. Government bonds Answer: C. Savings account for individuals
20. What is the main role of investment banks? A. Accept deposits B. Facilitate mergers, acquisitions, and capital raising C. Issue savings accounts D. Provide ATM services Answer: B. Facilitate mergers, acquisitions, and capital raising
21. What does SWIFT stand for? A. Society for Worldwide Interbank Financial Telecommunication B. Standard Worldwide International Fund Transfer C. Secure Wire International Fund Transfer D. Standardized Wire Interbank Finance Transaction Answer: A. Society for Worldwide Interbank Financial Telecommunication
22. What is the main feature of a demand deposit? A. Can be withdrawn anytime B. Fixed maturity C. High interest rate D. Used only for corporate clients Answer: A. Can be withdrawn anytime
23. Which is a primary function of the stock market? A. Collect taxes B. Enable buying and selling of shares C. Print money D. Manage loans Answer: B. Enable buying and selling of shares
24. What does inflation mean? A. Increase in the money supply B. Increase in general price levels over time C. Decrease in bank deposits D. Government deficit Answer: B. Increase in general price levels over time
25. Which type of bank account usually earns higher interest? A. Current account B. Savings account C. Fixed deposit D. Checking account Answer: C. Fixed deposit
26. What is overdraft facility? A. Short-term loan linked to current account B. Investment in stocks C. Bank charges D. Tax deduction scheme Answer: A. Short-term loan linked to current account
27. Which of the following is a non-banking financial institution (NBFI)? A. Commercial bank B. Insurance company C. Central bank D. Reserve bank Answer: B. Insurance company

28. What is the main objective of monetary policy? A. Collect taxes B. Control inflation and stabilize currency C. Manage trade D. Issue government bonds Answer: B. Control inflation and stabilize currency
29. Which instrument is used for short-term borrowing by companies? A. Corporate bonds B. Commercial paper C. Equity shares D. Mortgages Answer: B. Commercial paper
30. What is loan-to-value ratio (LTV)? A. Ratio of loan to bank capital B. Ratio of loan amount to asset value C. Ratio of profit to loan D. Ratio of deposit to loan Answer: B. Ratio of loan amount to asset value